SUPREME COURT · JUDGMENT DIGEST

M/S. Dakshin Gujarat Vij Company Limited *v.* M/S. Gayatri Shakti Paper and Board Limited and Another

Civil Appeal Nos. 8527-8529 of 2009 (with Civil Appeal Nos. 1-2 of 2010, 1693-1698 of 2010, 12282 of 2016, 1142 & 1141 of 2022, 4611-4624 of 2022, 4532-4556 of 2022, 4571 of 2022, 3662 of 2022, 4233 of 2022, 8738 of 2022) | Supreme Court of India | 2023 INSC 886, 9 October 2023

COURT	Supreme Court of India (Two-Judge Bench)
CORAM	Hon’ble Mr. Justice Sanjiv Khanna & Hon’ble Mr. Justice M.M. Sundresh
DATE OF JUDGMENT	9 October 2023
NATURE OF PROCEEDING	Civil Appeals under Civil Appellate Jurisdiction, arising from orders of the Appellate Tribunal for Electricity and related regulatory proceedings
PARTIES	M/S. Dakshin Gujarat Vij Company Limited (appellant) *v.* M/S. Gayatri Shakti Paper and Board Limited and Another (respondents), with multiple other appellants and respondents in consolidated appeals
PROVISIONS	Sections 2(8), 2(15), 2(49), 3, 9, 30, 38, 42, 50, 154 & Electricity Act, 2003; Rule 3 & Electricity Rules, 2005
RESULT	**The Court held that captive generating plants under Rule 3(1) must satisfy strict eligibility criteria: minimum 26 per cent ownership and 51 per cent consumption by captive users, with a proportionality requirement in the case of association of persons, including special purpose vehicles.**

POINT FOR DETERMINATION

1. Whether the eligibility criteria for a captive generating plant under Rule 3(1)(a) of the Electricity Rules, 2005 — namely, 26 per cent ownership and 51 per cent electricity consumption — are minimum thresholds without upper limits, and how they interact with the definition of ‘primarily for his own use’ in Section 2(8) of the Electricity Act, 2003.
2. How to interpret and apply the second proviso to Rule 3(1)(a) — the proportionality requirement — when captive users are an ‘association of persons’; whether it mandates a unitary qualifying ratio (consumption divided by shareholding), and how to handle changes in ownership or shareholding during a financial year.
3. Whether a company formed as a special purpose vehicle (SPV) to own, operate and maintain a generating station qualifies as an ‘association of persons’ and must therefore comply with the proportionality requirement under the second proviso to Rule 3(1)(a), or whether Rule 3(1)(b) creates a separate exemption for SPVs.

FACTS

Multiple consolidated appeals were filed challenging orders of the Appellate Tribunal for Electricity (APTEL) and electricity regulatory commissions on the classification and eligibility of captive generating plants (CGPs). The cases turned on the interpretation of Rule 3 of the Electricity Rules, 2005, which prescribes the requirements for a power plant to qualify as a CGP under Section 9 read with Section 2(8) of the Electricity Act, 2003.

The APTEL had issued conflicting judgments: (1) Kadodara Power Pvt. Ltd. v. GERC (22 September 2009), which the Court later held to be per incuriam on several findings in (2) Tamil Nadu Power Producers Association v. TNERC (7 June 2021), and (3) Sai Wardha Power Generation Limited v. MERC (26 November 2021), which substantially agreed with the Tamil Nadu Power view. The conflicts concerned whether the eligibility criteria are rigid, when and how to verify compliance, whether the proportionality principle applies to special purpose vehicles, and how to account for changes in shareholding during the financial year.

REASONING OF THE COURT

HEADNOTE

A power plant qualifies as a captive generating plant under the Electricity Act, 2003 and Rule 3 of the Electricity Rules, 2005 only when it satisfies two minimum cumulative criteria: (1) the captive user(s) hold not less than 26 per cent of the ownership; and (2) not less than 51 per cent of the aggregate electricity generated is consumed for captive use. These thresholds must be maintained continuously throughout the financial year. Where there are multiple captive users forming an ‘association of persons’ — including a special purpose vehicle — the second proviso to Rule 3(1)(a) imposes an additional proportionality requirement: each captive user’s consumption of electricity must bear a proportion to his or her shareholding, with the unitary qualifying ratio being 1.96 per cent consumption per 1 per cent shareholding, subject to a variation not exceeding 10 per cent. When shareholding changes during the year, the weighted average method applies. Special purpose vehicles are not exempt from the proportionality requirement.

Section 2(8) and the statutory definition of a CGP. The Court noted that Section 2(8) of the Electricity Act, 2003 defines a ‘captive generating plant’ as a power plant set up by any person to generate electricity primarily for his own use, and includes plants set up by cooperative societies or associations of persons. The word ‘primarily’ is the statutory test. Rule 3 operationalises this by requiring minimum ownership (26 per cent) and consumption (51 per cent). ¶ 25

The 26 per cent and 51 per cent thresholds are minima, not maxima. The presence of the words ‘not less than’ in Rule 3(1)(a) reflects that 26 per cent ownership and 51 per cent consumption are the *minimal* or lowest threshold; maximum is not prescribed. A captive user owning 100 per cent and consuming 51 per cent would qualify. But this can result in ‘gaming’ or misuse, particularly where there are multiple owners. ¶ 26

The minimum ownership must be maintained *continuously*, not merely at year-end. Rejecting the Tamil Nadu Power view, the Court held that the minimum 26 per cent ownership requirement and 51 per cent consumption requirement must be maintained continuously throughout the financial year (1 April to 31 March), not merely verified on 31 March. The requirement under Explanation (2) to Rule 3(1)(b) obliges captive users to ensure continuous compliance. ¶ 39

The proportionality principle and the unitary qualifying ratio. In an association of persons, the second proviso to Rule 3(1)(a) mandates that consumption be ‘in proportion to their shares in ownership of the power plant within a variation not exceeding 10 per cent.’ The Court clarified that the proportionality principle specifies a *unitary qualifying ratio*: consumption requirement (51 per cent) divided by shareholding requirement (26 per cent) equals 1.96 per cent. Each owner must consume at least 1.96 per cent for every 1 per cent shareholding held, with the 10 per cent variation band permitting a range of 1.764 per cent to 2.156 per cent. Illustrations 1 to 5 demonstrate how this applies when owners have varying shareholdings. ¶ 43

Transfer of ownership does not extinguish captive status if new owner meets Rule 3 criteria. Citing Kadodara Power, the Court reasoned that Section 9(1) uses 'construct, maintain or operate' disjunctively, meaning different persons can perform these functions. Section 2(8) should not be read as impliedly prohibiting transfer of a CGP's ownership. The owner of a CGP need not be the original builder; a subsequent owner who maintains and operates it can retain its captive status if he or she complies with Rule 3. ¶ 36

Weighted average shareholding method for mid-year changes. When a captive user's shareholding fluctuates during the year (e.g., 30 per cent for 3 months, 40 per cent for 4 months, 50 per cent for 5 months), the weighted average shareholding method fairly determines the proportionate consumption required, provided the minimum aggregate ownership of 26 per cent is not breached. ¶ 47–48

SPVs are an 'association of persons' and must satisfy the proportionality requirement. The Court rejected the Tamil Nadu Power reasoning that Rule 3(1)(b) creates a separate exemption for SPVs from the proportionality rule. Rule 3(1)(b) merely permits identification of specific units in a multi-unit SPV; it does not override Rule 3(1)(a) and its second proviso. An SPV is a legal entity formed by multiple companies or body corporates with the common purpose of establishing a CGP and enjoying captive benefits; it therefore meets the ***Ramanlal Bhailal Patel*** test of an association of persons. All group captive users not registered as cooperative societies must comply with the proportionality requirement. ¶ 51, 66

The legislative intent and policy rationale. The Court referred to the National Electricity Policy, 2005, which states that the provisions on captive generation are designed to secure reliable, quality and cost-effective power and to facilitate creation of employment opportunities through efficient growth of industry. The policy aims to enable small and medium industries to collectively set up plants of optimal size. This legislative intent supports a purposive interpretation that prevents 'gaming' — i.e., allowing insignificant shareholders to consume disproportionate electricity. ¶ 17

INTERPRETATION OF THE ELECTRICITY ACT, 2003 AND THE ELECTRICITY RULES, 2005

ELECTRICITY ACT, 2003 & ELECTRICITY RULES, 2005

Section 2(8) — Definition of Captive Generating Plant

Section 2(8) defines a captive generating plant as a power plant set up by any person to generate electricity 'primarily for his own use,' and includes plants set up by cooperative societies or associations of persons for use by their members. The statutory word 'primarily' is the touchstone; Rule 3 operationalises this by prescribing that not less than 51 per cent of aggregate electricity must be consumed for captive use. The term 'person' under Section 2(49) includes any company, body corporate, association or body of individuals, whether incorporated or not, or artificial juridical person, thereby encompassing individual users, groups, cooperatives, and SPVs. ¶ 6

Section 9 — Captive Generation and Open Access

Section 9(1) permits any person to construct, maintain or operate a CGP and dedicated transmission lines, using the words 'construct, maintain or operate' disjunctively (with 'or'), such that construction, maintenance and operation need not be by the same person. This supports the view that transfer of ownership does not extinguish captive status. Section 9(2) grants a person who has constructed a CGP and maintains and operates it the right to open access to carry electricity to the destination of his use, subject to transmission availability. The provisos regulate supply through the grid (first proviso) and supply to licensees without licence requirement (second proviso). ¶ 9–12

Section 42 — Open Access and Surcharge

Section 42(2) allows the State Commission to introduce open access in phases, subject to conditions including cross subsidies and operational constraints. The fourth proviso states that surcharge shall not be leviable in case open access is provided to a person who has established a CGP for carrying electricity to the destination of his own use. This exemption reflects the legislative intent to encourage captive generation without penalising open-access users who maintain and operate their own plants. ¶ 14–15

Rule 3(1)(a) — Eligibility Criteria for Ownership and Consumption

Rule 3(1)(a) prescribes two cumulative requirements for a power plant to qualify as a CGP: (i) not less than 26 per cent of ownership is held by the captive user(s); and (ii) not less than 51 per cent of aggregate electricity is consumed for captive use, determined on an annual basis. The words ‘not less than’ establish these as *minimum* thresholds. The captive status is lost if the minimum percentage of captive use is not complied with in any year; the entire electricity is then treated as supply by a generating company. These criteria must be satisfied and maintained throughout the financial year, from 1 April to 31 March. ¶ 25–26, 39

Rule 3(1)(a) proviso 1 — Cooperative Societies

The first proviso to Rule 3(1)(a) applies where a CGP is set up by a registered cooperative society. In such cases, the conditions of 26 per cent ownership and 51 per cent consumption are treated as satisfied *collectively* by the members of the cooperative society. Thus, if the members collectively consume more than 51 per cent and collectively hold more than 26 per cent, the plant is a CGP and the members are captive users, regardless of individual proportions. ¶ 28

Rule 3(1)(a) proviso 2 — Association of Persons and Proportionality

The second proviso applies where the captive users are an ‘association of persons.’ It requires that: (a) the captive user(s) hold not less than 26 per cent of ownership in aggregate; (b) not less than 51 per cent of aggregate electricity is consumed on an annual basis; and (c) crucially, the proportion of shares held by each captive user must correspond proportionately to his or her consumption of electricity, within a variation not exceeding 10 per cent. This proportionality principle is expressed as a *unitary qualifying ratio* of 51 divided by 26 = 1.96 per cent consumption per 1 per cent shareholding (with a permissible range of 1.764 per cent to 2.156 per cent). A shareholder who consumes less than this ratio, even if the group collectively meets the minima, does not qualify as a captive user and may be liable to pay surcharge. ¶ 41–45

Rule 3(1)(b) — Special Purpose Vehicles with Multiple Units

Rule 3(1)(b) applies to generating stations owned by a company formed as an SPV with multiple units. It permits such a station to identify one or more units for captive use; the conditions in Rule 3(1)(a)(i) and (ii) apply only to the identified units, not to the entire station. The explanation clarifies that electricity consumption and ownership requirements are determined with reference to the identified units only. Rule 3(1)(b) does *not* exempt an SPV from the proportionality requirement of the second proviso to Rule 3(1)(a); rather, it merely provides flexibility in unit identification. ¶ 51

Rule 3(1)(b) Explanation 2 — Subsidiary and Holding Company Consumption

The proviso to Explanation 1 to Rule 3 states that consumption of electricity by a subsidiary company or holding company as defined in the Companies Act, 2013, when one of them is a captive user, shall be admissible as captive consumption. This allows corporate group structures to pool consumption. ¶ 27

Rule 3(1) Explanation (c) — Ownership Definition

Ownership in relation to a generating station set up by a company means equity share capital with voting rights. In other cases, it means proprietary interest and control. ¶ 33

Rule 3(1) Explanation (d) — Special Purpose Vehicle Definition

An SPV is defined as a legal entity owning, operating and maintaining a generating station with no other business or activity to be engaged in by the legal entity. An SPV cannot itself be a captive user, as its sole purpose is to own and operate the plant; the purpose of companies setting up an SPV is for such companies to enjoy the common benefit of becoming captive users. ¶ 57

Rule 3(2) — Continuous Compliance and Loss of Status

It is the obligation of captive users to ensure that the minimum consumption percentages and ownership requirements are maintained continuously. If the minimum percentage of captive use is not complied with in any year, the entire electricity generated is treated as supply by a generating company, and the captive status is lost. ¶ 39–40

Weighted Average Shareholding for Mid-Year Changes

When a captive user's shareholding fluctuates during the financial year (e.g., different percentages held in different months), the weighted average shareholding method is applied to determine the proportionate electricity required to be consumed. This method fairly accounts for fluidity in corporate shareholding structures, provided that the minimum aggregate ownership of 26 per cent is maintained throughout. ¶ 47–48

RATIO DECIDENDI

A power plant qualifies as a captive generating plant under Section 9 read with Section 2(8) of the Electricity Act, 2003 and Rule 3 of the Electricity Rules, 2005 only when the captive user(s) hold *not less than 26 per cent ownership* and *not less than 51 per cent of aggregate electricity is consumed for captive use*, both *maintained continuously* throughout the financial year. Where the captive users are an 'association of persons' (including a special purpose vehicle formed by multiple companies), the second proviso to Rule 3(1)(a) mandates a *proportionality requirement*: each user's consumption must bear a proportion to his shareholding (unitary qualifying ratio of 1.96 per cent per 1 per cent, with ±10 per cent variation). When shareholding changes mid-year, weighted average is applied. Rule 3(1)(b) does not exempt SPVs from this proportionality; gaming (insignificant shareholders consuming disproportionate electricity) is impermissible.

ALSO HELD & OBITER

- **Transfer of captive status is permitted if Rule 3 criteria are met by the transferee.** Construction, maintenance and operation of a CGP under Section 9(1) are disjunctive functions; the owner of a CGP need not be the original builder. A CGP does not lose its captive status upon transfer of ownership if the new owner satisfies Rule 3 eligibility criteria. This recognises the practical reality of business and property transfers.
- **The object and purpose of captive generation policy.** The National Electricity Policy, 2005, shows that captive generation provisions aim to secure reliable, quality, cost-effective power and create employment opportunities through efficient industrial growth. This legislative intent supports a purposive interpretation that prevents misuse or 'gaming.'

DISPOSITION

> The Court **answered all three issues** and **clarified the legal position on interpretation of the Electricity Act, 2003 and Rule 3 of the Electricity Rules, 2005** as follows: (1) The 26 per cent ownership and 51 per cent consumption criteria are minimum thresholds that must be *maintained continuously* throughout the financial year, not merely verified at year-end. (2) The proportionality requirement under the second proviso to Rule 3(1)(a) applies strictly to all ‘association of persons,’ and is expressed as a unitary qualifying ratio of 1.96 per cent consumption per 1 per cent shareholding (with ±10 per cent variation); when shareholding changes mid-year, the weighted average method applies. (3) Companies formed as special purpose vehicles to own, operate and maintain generating stations are an ‘association of persons’ within Rule 3(1)(a) and must comply with the proportionality requirement; Rule 3(1)(b) does not exempt them. The principles of statutory interpretation favour a purposive reading that prevents ‘gaming’ and promotes the legislative intent. The matter is remitted to the Appellate Tribunal and regulatory commissions for application of these principles to individual cases.

SIGNIFICANCE

This judgment establishes binding principles for determining captive generating plant status under electricity law. Three propositions emerge:

- **Continuous compliance is mandatory, not point-in-time verification.** The Court rejected the APTEL’s view that compliance need be verified only at year-end (31 March). The 26 per cent ownership and 51 per cent consumption requirements must be met and maintained from 1 April through 31 March; a dip below 26 per cent ownership or 51 per cent consumption at any point during the year can disqualify the plant.
- **The unitary qualifying ratio puts structure on the proportionality principle.** The second proviso to Rule 3(1)(a) is ambiguous, but the Court clarified it by deriving a mathematical formula: consumption requirement (51) divided by shareholding requirement (26) = 1.96 per cent. This supplies a bright-line test: each 1 per cent shareholder must consume at least 1.96 per cent (subject to ±10 per cent tolerance), preventing disproportionate use by small shareholders.
- **Weighted average shareholding fairly handles corporate fluidity.** When shareholding changes during the year, the weighted average method (rather than year-end snapshot or transaction-by-transaction computation) fairly computes proportionate consumption, providing certainty for corporate restructurings.
- **Transfer of ownership and subsequent maintenance do not extinguish captive status.** A new owner who acquires a CGP and maintains and operates it can retain its status if compliant with Rule 3; the Act does not require the original builder to remain the owner. This encourages secondary trading and investment in existing CGP infrastructure.
- **Special purpose vehicles cannot hide behind Rule 3(1)(b) to escape proportionality.** The Tamil Nadu Power decision held that Rule 3(1)(b) (on multi-unit SPVs) creates a stand-alone exemption from the second proviso. The Court rejected this, holding that an SPV — formed by multiple companies with common purpose to establish a CGP — is an ‘association of persons’ and must satisfy proportionality. This prevents ‘gaming’: a large utility could not hold 98 per cent of an SPV while allowing small shareholders to consume 98 per cent of output.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received. ‘Followed’, ‘Distinguished’, ‘Referred’, and ‘Applied’ reflect the Court’s own characterisation and the nature of the engagement.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
Kadodara Power Pvt. Ltd. and Others v. Gujarat Electricity Regulatory Commission and Another 2009 SCC OnLine APTEL 119 · Appellate Tribunal for Electricity	Held that the minimum ownership and consumption criteria for captive users are required to be satisfied, with a proportionality principle in the case of association of persons; ownership of a CGP may be transferred after setup and the transferee may become a captive user if compliant with Rule 3. The Court followed this reasoning on proportionality and ownership transfer but corrected the APTEL's view on timing of compliance verification.	Followed
Tamil Nadu Power Producers Association v. Tamil Nadu Electricity Regulatory Commission 2021 SCC OnLine APTEL 19 · Appellate Tribunal for Electricity	Held that the minimum ownership and consumption criteria for captive users need be verified only on the last day of the financial year (31 March); held that Rule 3(1)(b) creates a stand-alone exemption for SPVs from the proportionality requirement of the second proviso to Rule 3(1)(a). The Court *disagreed* on both counts, rejecting the year-end verification approach and holding that SPVs must comply with proportionality.	Overruled
Sai Wardha Power Generation Limited and Others v. Maharashtra Electricity Regulatory Commission 2021 SCC OnLine APTEL 78 · Appellate Tribunal for Electricity	Substantially agreed with the Tamil Nadu Power view on SPV exemption from proportionality. The Court disagreed and held that SPVs are association of persons.	Distinguished
Chhattisgarh State Power Distribution Company Limited v. Chhattisgarh State Electricity Regulatory Commission and Another (2022) SCC Online SC 604 · Supreme Court	Interpreted Rule 3(1)(a) and held that the plant in question was a CGP where one sister concern held direct shares meeting the 26 per cent ownership threshold and, together with the SPV holding equity, consumed more than 51 per cent. Affirmed the principle that holding and subsidiary company consumption may be attributed to the captive user.	Referred
Maharashtra State Electricity Distribution Company Limited v. JSW Steel Limited and Others (2022) 2 SCC 742 · Supreme Court	Held that captive consumers are not liable to pay additional surcharge and are a separate class from 'consumers' defined under Section 2(15), distinct from bulk consumers availing open access. Captive users incur substantial expenditure on CGP construction and operation and merit a separate classification.	Referred
SESA Sterlite Limited v. Orissa Electricity Regulatory Commission and Others (2014) 8 SCC 444 · Supreme Court	Held that an industry in a Special Economic Zone, not drawing electricity from the licensee but from a third-party power purchase agreement, remained a 'consumer' liable to cross-subsidy surcharge because the cross-subsidy regime compensates the licensee for serving marginalised populations. Distinguished as not involving a captive user or self-generated power.	Distinguished
Global Energy Ltd. and Another v. Central Electricity Regulatory Commission (2009) 15 SCC 570 · Supreme Court	Held that a regulatory statute's restrictions and conditions must be construed having regard to purpose and object; the doctrine of proportionality applies; dealing in generation is vital to national economy. Used to support purposive interpretation of captive generation provisions to prevent narrow, irrational readings.	Referred

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
Ramanlal Bhailal Patel and Others v. State of Gujarat (2008) 5 SCC 449 · Supreme Court	Defined 'association of persons' as a legal entity in which two or more persons join in common purpose and common action to achieve common benefit, the common purpose varying by statutory context. Held that mere co-ownership without common purpose (e.g., inheritance) does not make an association of persons; but if co-owners enter into an arrangement for joint enterprise or venture, they may answer the definition. Applied to interpret 'association of persons' in the context of SPVs established to own and operate generating stations.	Referred
S. Sundaram Pillai and Others v. V.R. Pattabiraman and Others (1985) 1 SCC 591 · Supreme Court	Stated that a proviso may serve four purposes: (1) qualify or except certain provisions; (2) change the intendment by insisting on mandatory conditions; (3) become integral to the enactment; (4) act as optional addenda explaining intent. Used to hold that the second proviso to Rule 3(1)(a) is not case-specific but a mandatory corollary to Section 2(8)'s 'primarily for its own use' test.	Referred
Monnet Ispat & Energy Ltd. and Others v. Union of India and Others C.A. No. 18506-18507 of 2017 · Supreme Court	Held that the 51 per cent minimum electricity consumption requirement under Rule 3(1)(a)(ii) conforms with Section 2(8)'s requirement that electricity be generated 'primarily for its own use' and does not conflict with the Act's purposes. Used to support that the second proviso proportionality requirement is in furtherance of, not contrary to, Section 2(8).	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.